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Foxconn Industrial Internet Co. Ltd. | Asia Pacific

1Q26 Operating Profit Beat

Reaction to earnings

Unchanged Impact to our thesis	↓ Modest shortfall Financial results versus consensus	— Largely unchanged Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Key Takeaways

- Operating profit beat proves FI's execution capability, achieving scale benefits.
- We reiterate our OW rating on FI for its earnings uptrend with rising AI revenue exposure.

1Q26 details: Revenue was Rmb251bn, down 16% QoQ but up 57% YoY, driven by AI-related shipment strength, even though some newly added orders from CSP clients are on consignment booking; previously, they were mainly buy-and-sell.

Gross margin and operating margin continued to trend higher, to 7.9% and 6.2%, respectively.

Operating profit thus beat our estimate and consensus by 7% and 14%, respectively. Non-operating losses eroded core profit and resulted in net profit of Rmb10,595mn or EPS of Rmb0.53, 17% below our estimates.

- Cloud equipment:** Revenue doubled YoY. Within this, AI GPU rack shipment volume increased 3.8x YoY and AI ASIC server shipments also grew 3.2x YoY.
- Telecom and networking equipment:** 800G and above high speed switch shipment units rose 1.6x YoY, up 46% QoQ. CPO switches also started sampling with key customers.
- Inventory:** Reached Rmb167.3bn in 1Q26, up 11% QoQ and 39% YoY, with turnover days down to 52, vs. 64 in 4Q25 and 59 a year ago.
- Operating cash flow:** Stayed positive and increased to Rmb25bn in 1Q26.

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Foxconn Industrial Internet Co. Ltd. (601138.SS, 601138 CG)

Greater China Technology Hardware | China

Stock Rating	Overweight
Industry View	In-Line
Price target	Rmb82.80
Up/downside to price target (%)	21
Shr price, close (Apr 28, 2026)	Rmb68.20
52-Week Range	Rmb83.88-17.82
Sh out, dil, curr (mn)	18,780
Mkt cap, curr (mn)	US\$187,726
EV, curr (mn)	US\$190,350
Avg daily trading value (mn)	US\$1,216

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.78	3.08	4.04	4.97
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	1.75	3.09	3.96	4.91
Revenue, net (Rmb mn)	902,887	1,303,496	1,639,127	1,973,903
EBITDA (Rmb mn)	52,809	81,704	104,594	127,250
ModelWare net inc (Rmb mn)	35,286	61,120	80,320	98,739
P/E	34.9	22.2	16.9	13.7
P/BV	7.4	7.9	7.6	7.3
ROE (%)	23.0	36.6	46.7	55.5
EV/EBITDA	23.7	15.4	12.2	10.2
Div yld (%)	2.6	4.2	5.5	6.7
FCF yld ratio (%)**	(2.0)	1.2	1.5	2.8
Leverage (EOP) (%)	5.5	(17.6)	(5.6)	5.7

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Exhibit 1: 1Q26 results summary

Year to Dec. 31 (RMB mn)	Actual 1Q26	Q/Q	Y/Y	Forecast 1Q26	Diff. %	Consensus 1Q26	Diff. %
P&L Summary							
Net sales	251,078	-16%	57%	271,276	-7%	303,526	-17%
COGS	(232,623)			(251,433)		(282,230)	
Gross profit	19,843	-9%	86%	19,843	0%	21,295	-7%
Operating Exp.	(4,252)			(5,290)		(7,593)	
Operating income	15,592	-4%	137%	14,553	7%	13,703	14%
Total non-operating Inc.	(3,268)			(300)		1,247	
Pre-tax income	12,324	-17%	109%	14,253	-14%	14,949	-18%
Income tax	(1,727)			(1,535)		(2,565)	
Net income	10,595	-17%	103%	12,703	-17%	12,384	-14%
EPS (RMB)	0.53			0.64		0.62	
Margins							
Gross margin	7.9%			7.3%		7.0%	
Operating margin	6.2%			5.4%		4.5%	
Pretax margin	4.9%			5.3%		4.9%	
Net margin	4.2%			4.7%		4.1%	

Source: Company data, Factset, Morgan Stanley Research.

Valuation Methodology and Risks

Foxconn Industrial Internet Co. Ltd. (601138.SS)

Base case, derived from a multi-stage residual income (RI) valuation model. Key assumptions:

- A 10% cost of equity, in line with our tech hardware coverage universe.
- A medium-term growth rate of 18%, reflecting the benefits of its ongoing investment, enriched solution offerings and multi-year AI demand opportunity.
- A terminal growth rate of 5%.

Risks to Upside

- Faster project win progress in IIoT solutions
- Lower competition in its manufacturing business
- Faster-than-expected 5G and data center demand
- Stronger macro outlook

Risks to Downside

- Slow project win progress in IIoT solutions
- Increased competition in its manufacturing business
- Lower-than-expected 5G and data center demand
- Weaker macro outlook

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(as of March 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1573	43%	372	40%	24%	716	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	568	15%	89	10%	16%	209	13%
Total	3,679		923			1624	

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Foxconn Industrial Internet Co. Ltd. (601138.SS) - As of 04/28/26 GMT in CNY
Industry : Greater China Technology Hardware



Stock Rating History: 4/1/21 : 0/I

Price Target History: 3/20/20 : 20; 5/4/21 : 18.8; 3/30/22 : 12.6; 5/23/22 : 12; 11/10/22 : 11.8; 3/17/23 : 15.5; 5/9/23 : 17.5; 7/12/23 : 28.5; 5/10/24 : 31.1; 7/15/24 : 34.2; 2/5/25 : 29.5; 4/23/25 : 24.2; 5/16/25 : 25.5; 7/21/25 : 33; 8/15/25 : 52.5; 11/14/25 : 82; 4/17/26 : 82.8

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/28/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$36.30
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb137.00
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$26.24
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.75
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb18.11
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb535.46
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$500.00
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.08
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.65
Largan Precision (3008.TW)	E (10/17/2025)	NT\$2,580.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb8.15
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb8.65
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$8.01
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb74.17
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$48.60
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb58.69
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$62.45
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb309.80
Wingtech Technology Co Ltd (600745.SS)	E (11/10/2023)	Rmb27.80
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$29.92
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb373.49
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$226.60
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb115.25
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb31.63
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb825.00

ZTE Corporation (0763.HK)	E (03/11/2024)	HK\$24.46
ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb36.01
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,295.00
Advantech (2395.TW)	O (01/20/2021)	NT\$367.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,405.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$17.20
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,630.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.15
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,170.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,065.00
E Ink Holdings Inc. (8069.TWO)	E (01/07/2026)	NT\$140.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$71.30
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$301.00
Innolux (3481.TW)	E (04/07/2025)	NT\$24.35
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$3,980.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb25.62
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$95.50
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb13.99
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.26
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb8.14
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb137.74
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$27.25
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$588.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$29.85
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$7.76
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$281.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,390.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb70.83
Lenovo (0992.HK)	E (11/16/2025)	HK\$11.83
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$2,670.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$932.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$82.70
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$321.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb76.62
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb314.93
Unimicron (3037.TW)	O (02/23/2026)	NT\$825.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$140.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$4,800.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$326.50
Zhen Ding (4958.TW)	E (08/02/2022)	NT\$394.00
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,780.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,145.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$231.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$2,125.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,085.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb68.20
Foxconn Technology (2354.TW)	U (04/23/2025)	NT\$50.90
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb24.39
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$225.50
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,505.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb13.96
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$172.50

Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb69.88
Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT\$143.00
Tong Hsing (6271.TW)	E (03/18/2019)	NT\$175.50
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$318.00

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